

Fearnleys Tanker Market Wrap-up Feb 2025

Feb 28, 2025

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Never a dull moment

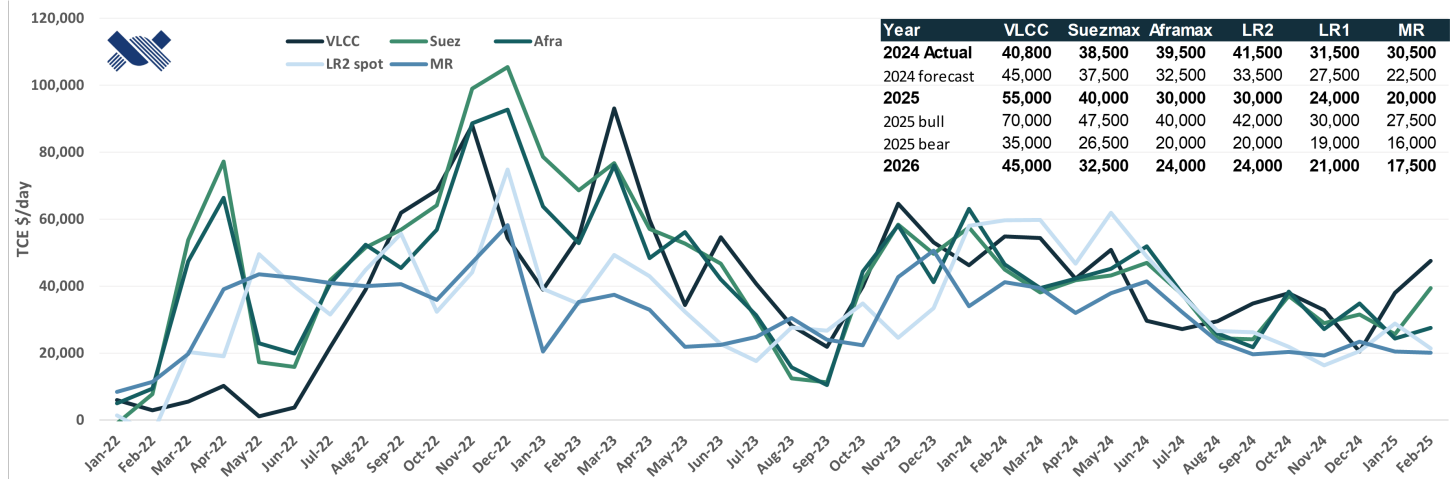
Summary and outlook

Rates have recovered nearly as expected so far this year, and with the backdrop of more sanctions coupled with more crude oil volumes coming, further upside should materialise in coming months.

The geopolitical landscape is highly uncertain, with new and often contradictory statements and headlines each day. What seems relatively certain is increased sanctions pressure on Iran. Tariffs could spark some more trade diversion, where longer sailing distances may offset negative economic impact. Any conflict resolution still seems some way off, but is a downside risk for tanker demand if and when diversions are (partly) unwound. Another risk, as ever, is macroeconomic.

For now, tanker market fundamentals should tighten further through the spring and summer, mostly for the bigger crude tankers, while the outlook for smaller segments is more normalised.

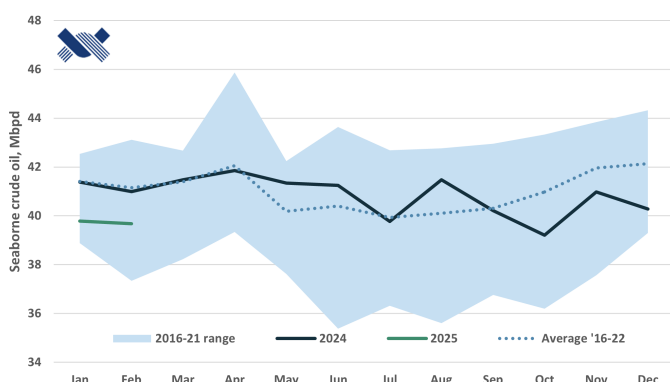
Rates and forecast



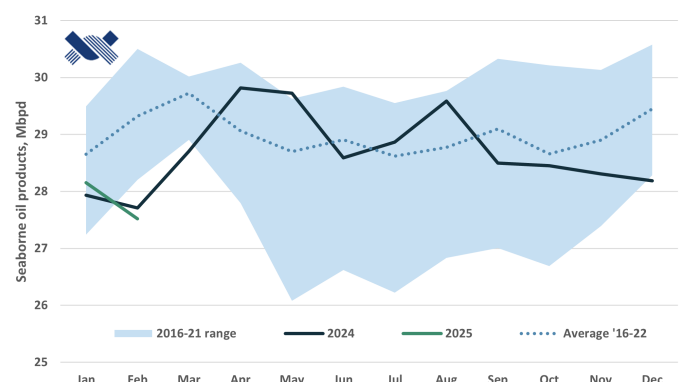
Source: Fearnleys, Baltic Exchange

Volumes YTD have been lower than during the same period last year, driven partly by better OPEC+ compliance and partly by underwhelming Americas production amid some preliminary outages. Crucially, however, crude tanker demand has been boosted by longer sailing distances as Eastern buyers seek more compliant barrels in the Atlantic basin.

Seaborne crude oil volumes



Seaborne oil products volumes



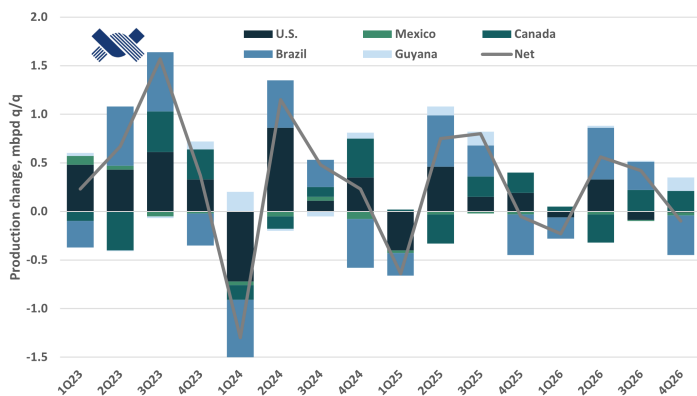
Source: Vortexa

More oil to come - which seems to be needed

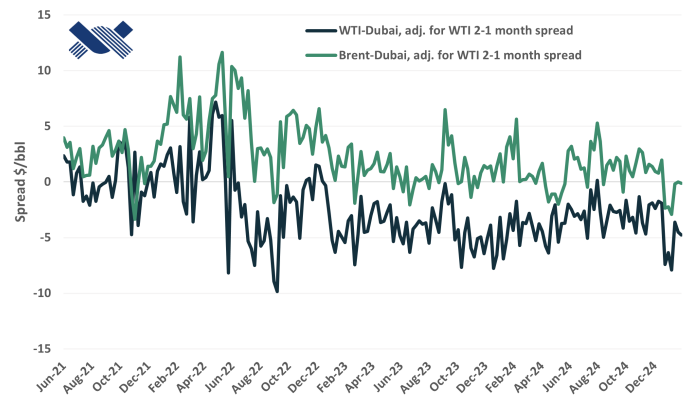
There should be more in coming months too, with expected production increases in the Americas, most prominently in Brazil and Guyana. Five new FPSOs are scheduled to come online this year, with a combined capacity of about 1 mbpd. One of them has already arrived in Brazil, and two others have been delivered ex. yard, so should be on schedule to start production within the next couple of quarters.

After slumping by nearly 0.5 mbpd in Q1, the EIA forecasts an increase in Americas production of 0.75 mbpd in Q2, and another 0.8 mbpd in Q3. Most of that is likely to be exported by sea, and contribute to both higher volumes and longer average sailing distances - mostly benefiting the biggest tankers.

Americas crude oil production q/q



Relative oil pricing

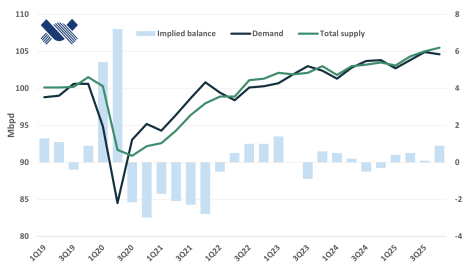


Source: EIA, Bloomberg

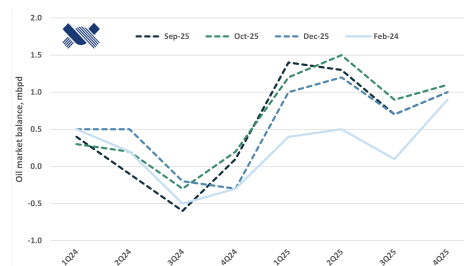
The oil market balance YTD has appeared much tighter than expected. The forward curve has remained backwardated, and global inventories have drawn meaningfully. Partly, that is due to some production outages at the beginning of the year, but also partly due to stronger demand. At most, in its October report, the IEA predicted a 1.2 mbpd oversupplied market this year, while in the most recent report this has dropped to 0.5 mbpd as demand has been revised up by 200 kbpd and supply down by 500 kbpd.

At this point, it will not take a lot of downside in supply from Iran, Venezuela or Russia amid tightened sanctions, before there is a need for the OPEC+ to unwind cuts. However, with oil prices coming off again lately, there is reason to suspect another delay to the cut unwind schedule beyond April.

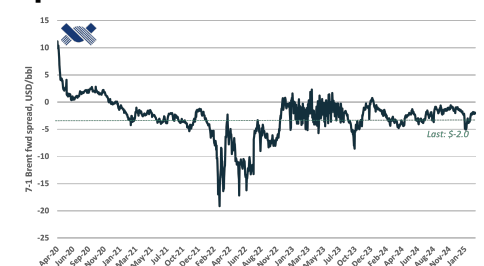
IEA oil market balance



IEA oil market balance revisions



Brent 7-1 month forward spread



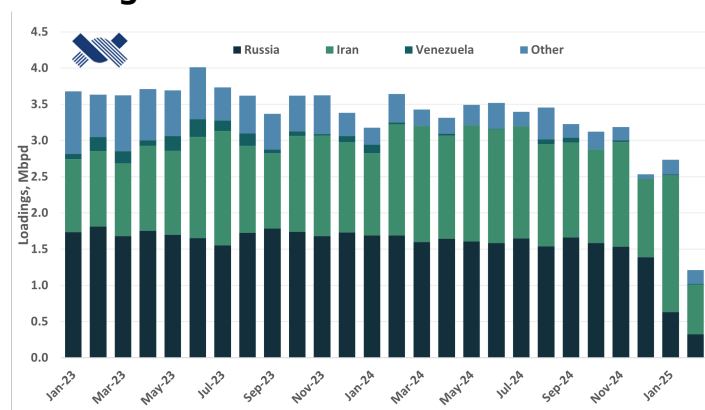
Source: IEA, Bloomberg

Stricter sanctions by the week

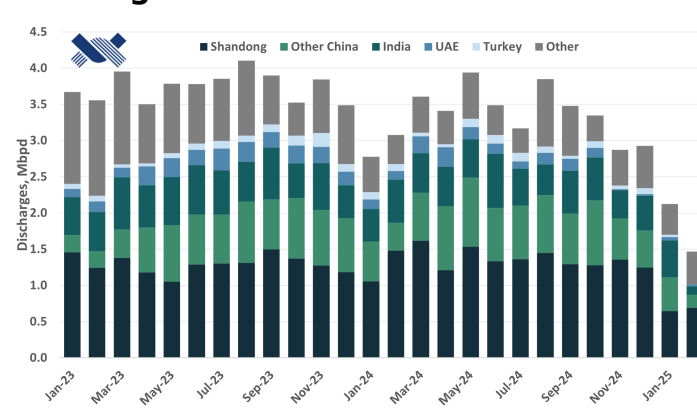
Speaking of sanctions, with the latest rounds from the EU and OFAC, a vast portion of the fleet is now sanctioned, and interestingly the latest round also included sanctions on the main export terminals in Iran and Chinese traders - which could up the pressure further. It looks like this has quite the effect: Loadings on OFAC listed tankers have plunged in February to date, as have discharges from these vessels - with further potential downside going forward after a waiver period for oil loaded on these tankers end imminently. This has also corresponded with a build-up of floating storage and oil in transit.

In turn, refinery run rates of Chinese independent refiners have declined substantially YTD, only for the slack to be taken up by the state-owned refiners (who source oil from compliant sources). Chinese refinery runs overall have risen marginally over the last two months, and crude inventories have drawn, by about 2 mbpd in February according to Argus. This means more volumes and demand to come still for the compliant fleet - after some near-term refinery turnarounds.

Loadings on OFAC listed tankers



Discharges from OFAC listed tankers

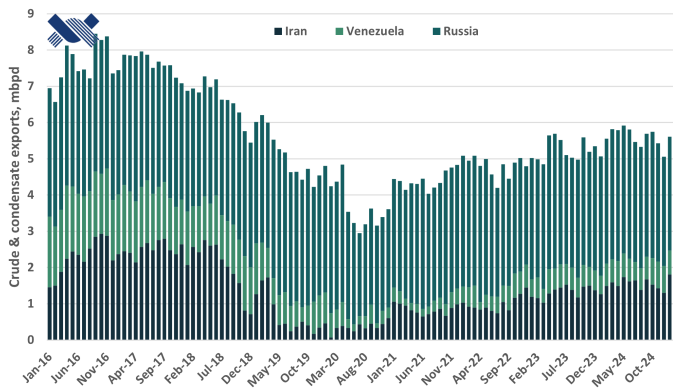


Source: Vortexa

The full effects on loadings from Russia, Iran and Venezuela are yet to be seen. January loadings in Iran were very high, but the run-rate in February is substantially lower as shipping cost has risen on lower shipping availability. This, coupled with slim discounts for Iranian oil currently means compliant crude oil is more competitive landed in China. Preliminary January and February numbers suggest a total 600 kbpd decline in loadings from these countries vs. the same period last year, led lower by Russian exports which are down 400 kbpd. Some more downside may be likely going forward as sanctions put pressure on Iran, Russia struggles with infrastructure, and Venezuela concessions end.

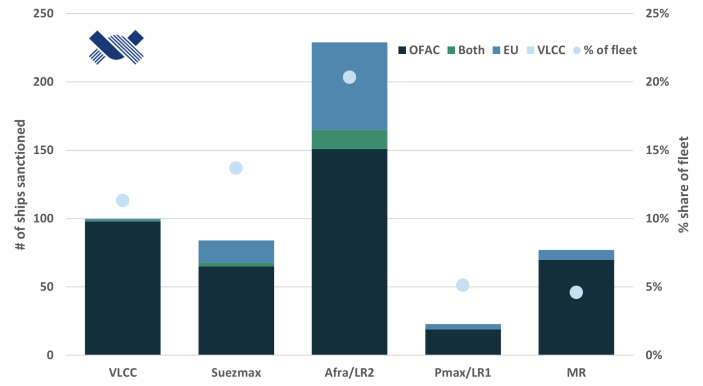
After the most recent round of sanctions, 12% of the total tanker fleet is on the OFAC and EU's black lists, 10% on the OFAC's which is the one that really matters. In utilisation adjusted terms, the market impact is about half of that, which is still significant. There is more to target, though, if relevant authorities want to, as less than half of the total shadow fleet has thus far been sanctioned. Overall, the now OFAC listed fleet carried 37% of exports from Russia, Iran and Venezuela last year, 49% of crude.

Russia, Iran and Venezuela exports



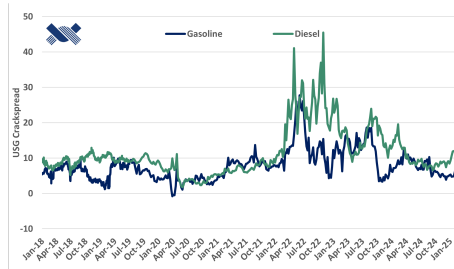
Source: Vortexa, OFAC, EU

Sanctioned fleet

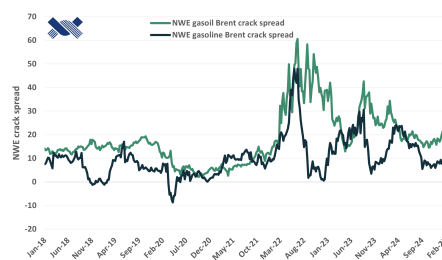


Another pointer to a relatively strong oil market YTD is refinery margins which have recovered a bit YTD and hold near historical averages. This is still a far cry from the highs of the last few years, and run estimates for this year still point to lower growth than in recent years - meaning lower product tanker volume additions. As more of the expected upside for runs this year is also closer to end-user demand, tonne-mile growth will likely be relatively low.

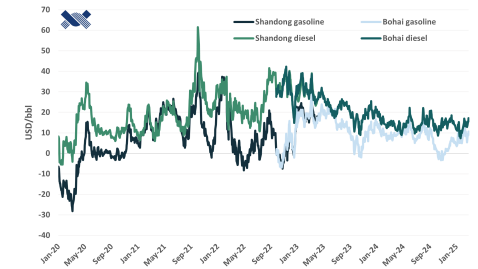
U.S. Gulf crack spreads



NorthWest Europe crack spreads



China crack spreads

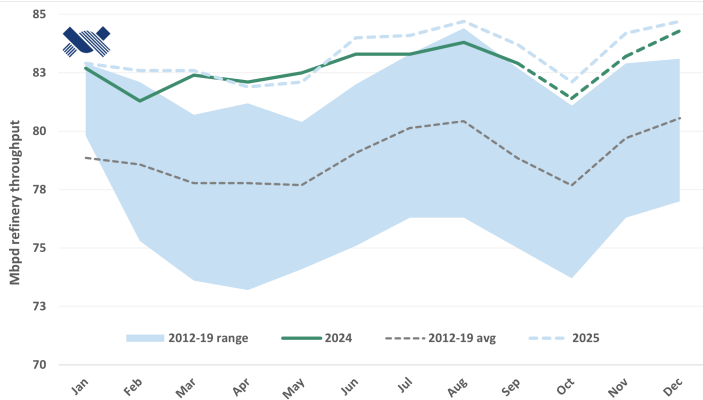


Source: EIA, Bloomberg, Argus

With refinery margins having held better than feared on decent demand and some other factors like low natural gas inventories in Europe and continued Ukrainian attacks on Russian refineries, there are also expectations that maintenance may not be as extensive this spring. Overall, refinery runs are expected to increase by 0.6 mbpd this year, following a 0.5 mbpd increase last year and well below 2023's 1.1 mbpd.

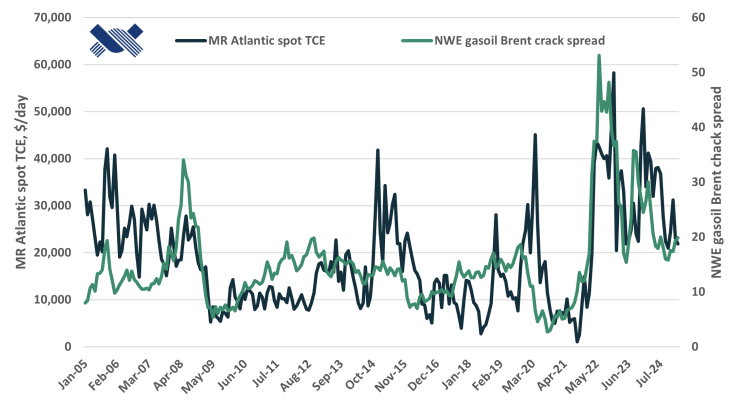
Lower volume growth, higher fleet growth, and more normalised crack spreads all point to more normalised earnings for product tankers this year. Sure, there will be volatility, but we expect the floor and ceiling to be lower than over the last couple of years.

Global refinery runs



Source: IEA, Bloomberg, Baltic Exchange

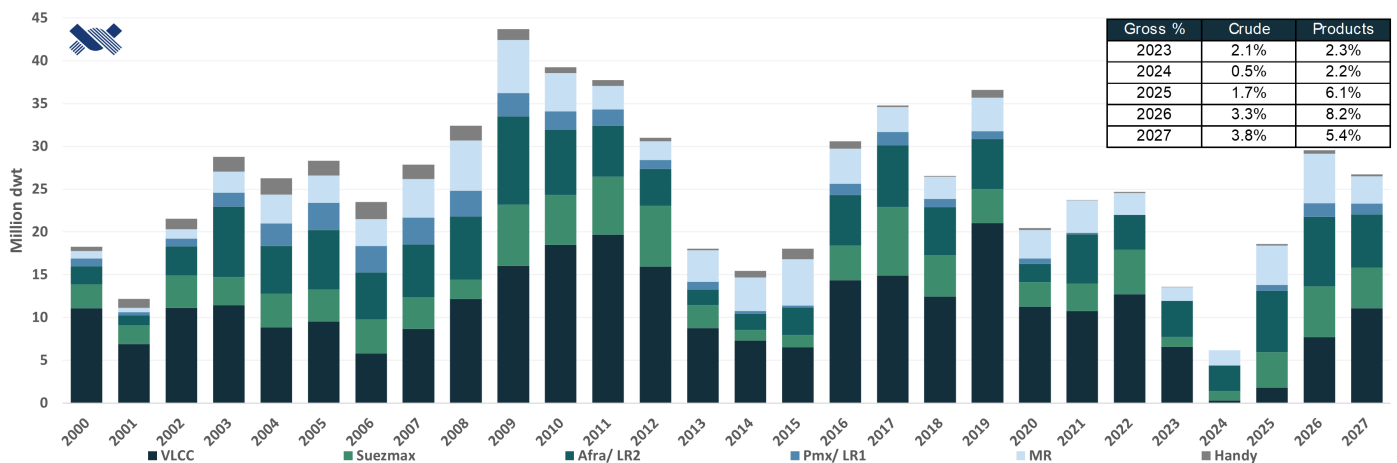
Atlantic MR rates vs. NWE gasoil margins



Little near-term fleet growth

This year's scheduled gross delivery number is expected to rise to 3%, from only 1% last year. For crude tankers the gross figure is still a low 1.7% while products is quite high at 6.1%. Given sanctions and new regulations, we expect that net fleet growth for the crude tanker fleet will effectively be negative this year, and that products may end up closer to 3-4% - although mostly in the second half of the year. Hence, the outlook in coming months is still very low, and coupled with demand that is set to pick up should bode for unseasonably strong rate development going forward.

Tanker deliveries by year

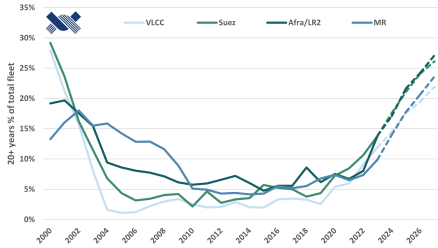


Source: Fearnleys

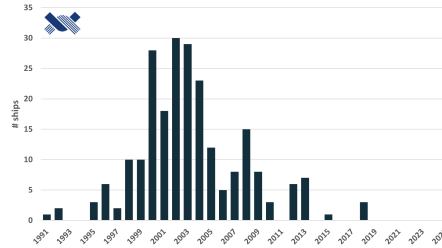
With nearly 16% of the tanker fleet already having passed the 20 year mark, an orderbook to fleet ratio of 13.4% is hardly scary. More so, with 10% of the fleet being sanctioned by the OFAC, much of which is at risk of never returning to the 'normal' fleet, there is ultimately a need for more orders to materialise beyond 2027.

Sure, if sanctions on Iran and/or Russia are lifted, some of the OFAC listed vessel may come back, but as shown below a vast majority, especially for the Iran linked vessels, is getting very old - on average built in 2003. 27% of the Iran linked OFAC listed tankers are already 25+ years old, and 76% are 20 or older. For Russia, the average built is 2007, with 5% being 25+ years old and 40% being 20+. Hence there is a risk that some of these may come back to the broader market - especially going into domestic shipping companies.

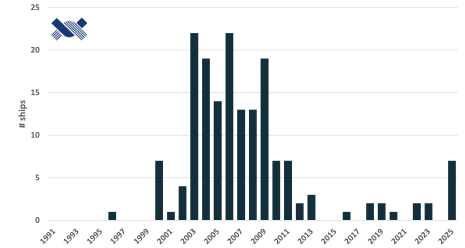
20+ years old vessels share of the total fleet



OFAC list age distribution, Iran linked



OFAC list age distribution, Russia linked

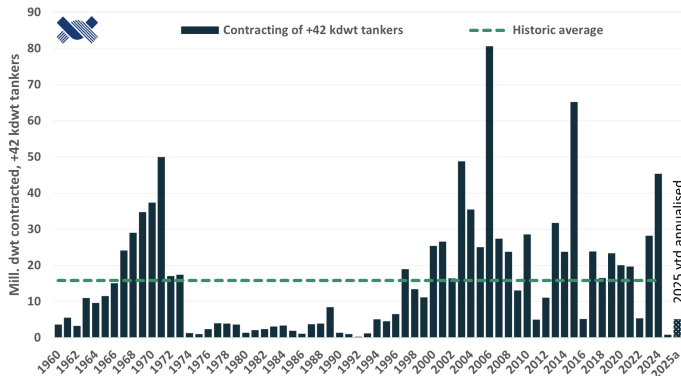


Source: Fearnleys, OFAC

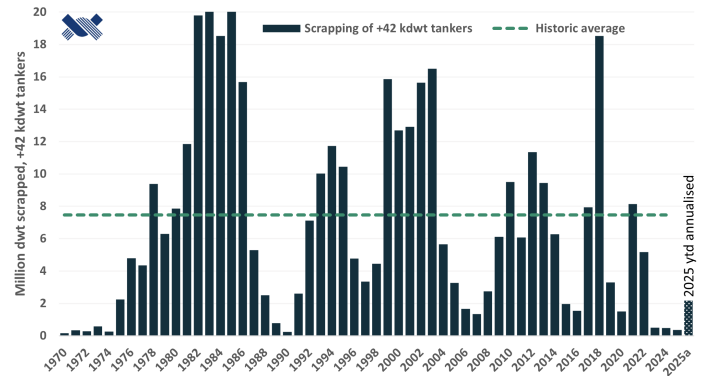
So far this year ordering activity has come to a near complete halt, partly due to all the geopolitical uncertainty, but partly also due to lower rates the last half year and softening secondhand values. For most segments it is currently relatively cheaper to buy secondhand than ordering, plus you still get decent TC rates for tonnage on the water. We do not expect to see any significant run-up in ordering interest until rates and values pick up meaningfully.

Meanwhile, phase-out has picked up, and already nearly as much has been confirmed scrapped as the last two years, with more also reportedly on the way to the scrap yards. We do not expect a major scrapping drive this year, but some more than in the past few years due to the growing portion of the fleet which is becoming near-obsolete. If there is a way to work around payment/sanction issues, we would expect that quite a few of the older OFAC listed vessels may be scrapped going forward - and for sake of saving environmental risks, there should be given waivers for this...

Tanker orders, 42k+ dwt



Tanker demolition, 42k+ dwt



Source: Fearnleys



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